

## PRACTICAL APPLICATION

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This section presents and analyzes two miniature case studies that demonstrate potential investor susceptibility to each variety of representativeness bias and then conducts a practical application research review.

### Miniature Case Study Number 1: Base-Rate Neglect

Case Presentation. Suppose George, an investor, is looking to add to his portfolio and hears about a potential investment through a friend, Harry, at a local coffee shop. The conversation goes something like this:

**George:** Hi, Harry. My portfolio is really suffering right now. I could use a good long-term investment. Any ideas?

**Harry:** Well, George, did you hear about the new IPO [initial public offering] pharmaceutical company called PharmaGrowth (PG) that came out last week? PG is a hot new company that should be a great investment. Its president and CEO was a mover and shaker at an Internet company that did great during the tech boom, and she has PharmaGrowth growing by leaps and bounds.

**George:** No, I didn't hear about it. Tell me more.

**Harry:** Well, the company markets a generic drug sold over the Internet for people with a stomach condition that millions of people have. PG offers online advice on digestion and stomach health, and several Wall Street firms have issued "buy" ratings on the stock.

**George:** Wow, sounds like a great investment!

**Harry:** Well, I bought some. I think it could do great.

**George:** I'll buy some, too.

George proceeds to pull out his cell phone, call his broker, and place an order for 100 shares of PG.

Analysis. In this example, George displays base-rate neglect representativeness bias by considering this hot IPO is, necessarily, representative of a good long-term investment. Many investors like George believe that IPOs make good long-term investments due to all the up-front hype that surrounds them. In fact, numerous studies have shown that a very low percentage of IPOs actually turn out to be good long-term investments. This common investor misperception is likely due to the fact that investors in hot